

wheel spinning. Likewise, the intelligent investor should seek to maximize the number of holdings that offer “a better chance for profit than for loss.” For most investors, diversification is the simplest and cheapest way to widen your margin of safety.

*** Graham is saying that there is no such thing as a good or bad stock; there are only cheap stocks and expensive stocks. Even the best company becomes a “sell” when its stock price goes too high, while the worst company is worth buying if its stock goes low enough.**

† The very people who considered technology and telecommunications stocks a “sure thing” in late 1999 and early 2000, when they were hellishly overpriced, shunned them as “too risky” in 2002—even though, in Graham’s exact words from an earlier period, “the price depreciation of about 90% made many of these securities exceedingly attractive and reasonably safe.” Similarly, Wall Street’s analysts have always tended to call a stock a “strong buy” when its price is high, and to label it a “sell” after its price has fallen—the exact opposite of what Graham (and simple common sense) would dictate. As he does throughout the book, Graham is distinguishing speculation—or buying on the hope that a stock’s price will keep going up—from investing, or buying on the basis of what the underlying business is worth.

*** Graham uses “common-stock option warrant” as a synonym for “warrant,” a security issued directly by a corporation giving the holder a right to purchase the company’s stock at a predetermined price. Warrants have been almost entirely superseded by stock options. Graham quips that he intends the example as a “shocker” because, even in his day, warrants were regarded as one of the market’s seediest backwaters. (See the commentary on Chapter 16.)**

¹ As recounted by investment consultant Charles Ellis in Jason Zweig, “Wall Street’s Wisest Man,” *Money*, June, 2001, pp. 49–52.

² JDS Uniphase’s share price has been adjusted for later splits.

³ No one who diligently researched the answer to this question, and honestly accepted the results, would ever have day traded or bought IPOs.

⁴ Paul Slovic, “Informing and Educating the Public about Risk,” *Risk Analysis*, vol. 6, no. 4 (1986), p. 412.

⁵ “The Wager,” in Blaise Pascal, *Pensées* (Penguin Books, London and New York, 1995), pp. 122–125; Peter L. Bernstein, *Against the Gods* (John Wiley & Sons, New York, 1996), pp. 68–70; Peter L. Bernstein, “Decision Theory in Iambic Pentameter,” *Economics & Portfolio Strategy*, January 1, 2003, p. 2.